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10.8.1 Charging depreciation to asset account

Under this method at the end of every accounting period, the amount of depreciation charged is debited to depreciation account and the amount of depreciation is credited to asset account. Hence the asset appears in the balance sheet at its depreciated value. Depreciation being revenue charge is transferred to profit and loss account.

The following journal entries are to be passed in the books for depreciation and related transactions:

(a) For purchase of asset

Asset A/c	Dr.	xxx	
To Bank A/c			xxx

(b) For providing depreciation at the end of the accounting year

Depreciation A/c	Dr.	xxx	
To Asset A/c			xxx

(c) For closing the depreciation account

Profit and loss A/c	Dr.	xxx	
To Depreciation A/c			xxx

(d) For sale of asset

Bank A/c	Dr.	xxx	
Profit and loss* A/c	Dr.	xxx	
To Asset A/c			xxx

*__Note__: Profit and loss A/c will be credited if there is profit on sale.



Creating provision for depreciation account

In this method, a provision for depreciation account is created. The amount of depreciation charged every year is transferred to provision for depreciation account and not to asset account. Hence, asset account appears in the balance sheet at its original cost. Amount in the provision for depreciation account is shown on the liabilities side of the balance sheet under the head current liabilities and provisions. Depreciation for every year being nominal item is closed by debiting to profit and loss account of the respective year.

Example:

Original cost of plant and machinery ` 10,000 Depreciation ` 1,000